decentralized topography that no single entity could hope to buy enough computers to take majority share.

Buying and maintaining these computers is costly, and miners are not volunteering their time and money out of altruism. Instead, more computers are only added to the network when more entities see the ability to profit from doing so. In other words, miners are purely economically rational individuals—mercenaries of compute power—and their profit is largely driven by the value of the cryptoasset as well as by transaction fees. Therefore, the more the price goes up, and the more transactions are processed, the more likely new computers will be added to help support and secure the network.[2] In turn, the greater hardware support there is for the network, the more people will trust in its security, thereby driving more people to buy and use the asset.

A clearly positively reinforcing cycle sets in that ensures that the larger the asset grows, the more secure it becomes—as it should be. The security should be different for a pawn shop with $3,000 in the cash register versus a Wells Fargo branch with $2 million in the vault. The same goes for the security of a cryptoasset with a network value of $300,000 versus $3 billion.

Hash Rates as a Sign of Security

One way to determine the relative safety of a cryptoasset is through its hash rate. A cryptoasset's hash rate is representative of the combined power of the mining computers connected to the network. For example, Figures 13.1 and 13.2